AMB ADVISORY SERVICES

Project Ridgeline

Confidential Information Memorandum

October 2026

Strictly private and confidential. Prepared by AMB Advisory Services LLC for recipients who have executed a confidentiality agreement with AMB Advisory.

Ridgeline earned $452.9K of Adj. EBITDA (14.9% margin) on $3.04M of FY2025 revenue with 24 employees and 1,450 agreement members

Quick Stats ($000s unless noted)

Metric	Fiscal year FY2023	FY2024	FY2025	Context	Obs.
Financial					
Revenue	$2,406.8	$2,718.6	$3,040.8	12.4% CAGR; 11.9% in FY2025	A
% gross margin	*61.0%*	*61.5%*	*61.9%*	Equipment and materials 24.6% of revenue	B
Reported EBITDA	157.0	212.2	316.4	Margin 6.5% to 10.4%	
Adj. EBITDA (2)	**$263.0**	**$354.2**	**$452.9**	After $136.5K of FY2025 adjustments (p. 4)	C
% margin	*10.9%*	*13.0%*	*14.9%*	Up +4.0 pts in two years	
Seller's discretionary earnings (2)	358.0	449.2	547.9	SDE: Adj. EBITDA + $95K replacement salary	
% margin	*14.9%*	*16.5%*	*18.0%*		
Operating (1)					
Agreement members (#)			1,450	82% renewal; two tune-ups a year	D
Largest customer (% of revenue)			4.0%	Top 10 are 19.3%, all commercial	
Employees (#)			24	18 in the field; ops manager 11 years' tenure	
Revenue per employee			126.7	$168.9K per field employee	
Fleet (#)			20	18 service vans, 2 install trucks, owned	
Google rating			4.8	900+ reviews; Carrier dealer since 2015	

Ridgeline Comfort Services LLC ("Ridgeline" or the "Company") is a residential and light-commercial HVAC and plumbing contractor based in Columbus, Ohio, serving Franklin, Delaware and Licking counties within about a 35-mile radius. Founded in 2009 by its owner after 12 years as a lead technician at a regional contractor, the Company employs 24 people: 14 service technicians, 4 installers, an operations manager, 3 customer service and dispatch staff and a bookkeeper. Revenue of $3.04M in FY2025 (a 12.4% CAGR since FY2023) is 64% residential service and replacement, 27% commercial and 9% maintenance agreements, with 1,450 agreement members renewing at 82%. The largest customer is 4.0% of revenue. Ridgeline is an S corporation owned by its founder, who is retiring at 61 and is offering an asset sale with up to 12 months of full-time transition.

Source: Company financial statements (QuickBooks Online), FY2023–FY2025; Management; AMB Advisory analysis.
Note: Figures in USD thousands unless noted. Financials are as provided by the Seller and have not been independently audited. Fiscal year ends December 31.
(1) Per management; not independently verified. Operating metrics as of September 2026.
(2) Adj. EBITDA and SDE are non-GAAP measures; see page 4 for the reconciliation to net income.

Transaction summary

Term	Detail
What is offered	Substantially all of the operating assets of Ridgeline Comfort Services LLC, free and clear of liens.
Basis of offers	The business is offered as a purchase of assets; the Seller retains cash, receivables and payables.
Reason for sale	Owner retirement (age 61).
Owner transition	The owner will remain full time for up to 12 months after closing and will introduce each commercial account.
Key employees	The operations manager (11 years) is expected to stay. The Seller prefers a buyer who keeps the Ridgeline name and all employees.
Real estate	8,000 sq ft leased shop and office through 2029 with a 5-year renewal option; landlord unrelated to the owner.
Target timing	The Seller is targeting a closing within 12 months.
Tax	Each party will rely on its own tax advisors.

Key observations

A **Revenue grew 26% in two years,** from $2.41M in FY2023 to $3.04M in FY2025, with commercial the fastest line at a 15.8% CAGR and residential at 10.7%.

B **Gross margin rose +90 bps to 61.9%** because equipment and materials held at 24.6–24.8% of revenue while flat-rate pricing (ServiceTitan pricebook) passed cost increases through.

C **Adj. EBITDA margin rose from 10.9% to 14.9%** as operating expenses grew at a 9.3% CAGR against revenue at 12.4%; the largest adjustment is the owner's $200K salary restated to $95K (page 4).

D **Maintenance agreements are 9% of revenue** but schedule about 2,900 tune-up visits a year for 1,450 members renewing at 82%, and are offered on only about 35% of service calls (1).

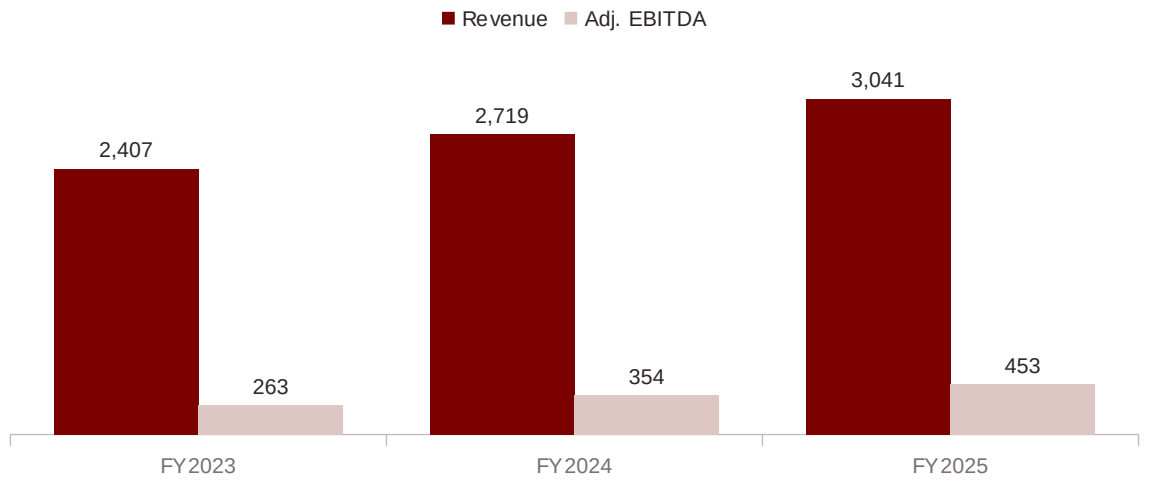
Revenue grew at a 12.4% CAGR to $3.04M in FY2025 while gross margin held at 61–62% and Reported EBITDA doubled to $316.4K

Summary income statement ($000s)

Income statement	Fiscal year FY2023	FY2024	FY2025	Growth FY25 y/y	CAGR	Obs.
Revenue						
Residential service and replacement	$1,589.0	$1,774.8	$1,946.1	9.7%	10.7%	
Commercial	612.5	707.8	821.0	16.0%	15.8%	A
Maintenance agreements	205.3	236.0	273.7	16.0%	15.5%	
Total revenue	**$2,406.8**	**$2,718.6**	**$3,040.8**	**11.9%**	**12.4%**	
Cost of revenue						
Equipment, parts and materials	596.9	673.1	748.4	11.2%	12.0%	
Direct labor and subcontractors	341.8	373.6	410.1	9.8%	9.5%	
Gross profit	**$1,468.1**	**$1,671.9**	**$1,882.3**	**12.6%**	**13.2%**	B
% margin	*61.0%*	*61.5%*	*61.9%*	*+40 bps*		
Operating expenses						
Owner compensation	180.0	190.0	200.0	5.3%	5.4%	
Technician wages and benefits	522.4	574.9	631.7	9.9%	10.0%	C
Office wages and benefits	176.8	194.6	212.9	9.4%	9.7%	
Vehicle, fuel and maintenance	118.9	130.2	141.5	8.7%	9.1%	
Rent and occupancy	88.0	92.0	96.0	4.3%	4.4%	
Insurance	54.6	61.5	67.1	9.1%	10.9%	
Marketing and advertising	17.2	19.8	21.5	8.6%	11.8%	
Other G&A	153.2	196.7	195.2	(0.8%)	12.9%	D
Total operating expenses	**$1,311.1**	**$1,459.7**	**$1,565.9**	**7.3%**	**9.3%**	
Reported EBITDA (1)	**$157.0**	**$212.2**	**$316.4**	**49.1%**	**42.0%**	E
% margin	*6.5%*	*7.8%*	*10.4%*	*+2.6 pts*		

Revenue and Adj. EBITDA ($000s)

FY2023–FY2025 CAGR: revenue 12.4%, Adj. EBITDA 31.2%



Key observations

A **Commercial and maintenance-agreement revenue each grew 16.0% in FY2025,** to $821.0K and $273.7K, against 9.7% for residential; the two lines rose from 34% to 36% of revenue in two years.

B **Gross profit grew 12.6% to $1.88M** and margin reached 61.9% (up +40 bps) because direct labor and subcontractors grew 9.8%, slower than revenue at 11.9%.

C **Technician wages and benefits, the largest expense line at $631.7K,** grew 9.9% in FY2025 against revenue growth of 11.9% and fell from 21.1% to 20.8% of revenue.

D **Other G&A was flat at $195.2K (down 0.8%)** because FY2024 carried a $24.0K legal settlement [N3] that did not recur; excluding it, the line grew 13.0%.

E **Reported EBITDA rose 49.1% to $316.4K** and the margin from 7.8% to 10.4%; total operating expenses grew 7.3% in FY2025 against revenue growth of 11.9%.

Source: Company financial statements (QuickBooks Online), FY2023–FY2025; AMB Advisory analysis.
Note: Figures in USD thousands unless noted. Financials are as provided by the Seller and have not been independently audited. Fiscal year ends December 31. Cost of revenue is equipment, parts, materials and installation labor; technician wages are in operating expenses.
(1) Net income before interest, income taxes, depreciation and amortization. The Company is an S corporation and pays no entity-level income tax.

Adj. EBITDA of $452.9K in FY2025 reflects $200K of owner pay reset to a $95K market salary plus $31.5K of itemized add-backs

Adjusted EBITDA reconciliation ($000s)

EBITDA ladder	Ref	Fiscal year FY2023	FY2024	FY2025	Growth FY25 y/y	Obs.
Net income		$79.8	$126.1	$222.8	76.7%	
Definitional adjustments						
(+) Interest expense	[D1]	14.8	17.2	19.0	10.5%	
(+) Income taxes	[D2]	–	–	–	–	
(+) Depreciation and amortization	[D3]	62.4	68.9	74.6	8.3%	
Reported EBITDA		**$157.0**	**$212.2**	**$316.4**	**49.1%**	**A**
% margin		*6.5%*	*7.8%*	*10.4%*	*+2.6 pts*	
Normalization adjustments						
(+) Owner personal vehicle	[N1]	16.0	17.0	18.0	5.9%	
(+) Charitable contributions	[N2]	5.0	6.0	7.5	25.0%	
(+) One-time legal settlement	[N3]	–	24.0	–	n.m.	
(+) Family phones and personal meals	[N4]	–	–	6.0	n.m.	
Total normalization adjustments		**$21.0**	**$47.0**	**$31.5**	**(33.0%)**	**B**
Owner compensation						
(+) Excess owner compensation	[S1]	85.0	95.0	105.0	10.5%	**C**
Adj. EBITDA		**$263.0**	**$354.2**	**$452.9**	**27.9%**	
% margin		*10.9%*	*13.0%*	*14.9%*	*+1.9 pts*	
Memo						
Seller's discretionary earnings (SDE) (1)		**$358.0**	**$449.2**	**$547.9**	**22.0%**	**D**
% margin		*14.9%*	*16.5%*	*18.0%*	*+1.5 pts*	

Takeaway: Of the $136.5K of FY2025 adjustments, $105.0K is owner pay above a $95K general-manager salary. A buyer who hires a manager underwrites Adj. EBITDA of $452.9K; an owner-operator underwrites SDE of $547.9K.

Adjustment support (FY2025, $000s)

Ref	Adjustment	Basis	Evidence
[N1]	Owner personal vehicle	Lease, fuel and insurance on the owner's personal truck, not used in the fleet, coded to vehicle expense: $18.0K per GL account 6420 and the lease agreement.	Documented
[N2]	Charitable contributions	Donations to youth sports leagues and a church capital campaign, $7.5K per GL account 6810; no customer relationship attached.	Documented
[N3]	One-time legal settlement	Settlement of a 2024 employment claim paid in June 2024, including legal fees, $24.0K in FY2024; settlement agreement and invoices on file. No similar claim in FY2023 or FY2025.	Documented
[N4]	Family phones and personal meals	Four family cell phone lines and personal meals coded to office expense, $6.0K per management's review of FY2025 card statements.	Management representation
[S1]	Owner compensation	Owner W-2 wages of $180.0K, $190.0K and $200.0K restated to $95.0K, the market salary for a general manager (2); payroll register.	Documented (wages); market salary per management (2)

Key observations

A **Reported EBITDA of $316.4K is net income of $222.8K** plus $19.0K of interest on vehicle loans and $74.6K of depreciation, mainly on the 20-vehicle fleet; as an S corporation the Company pays no entity-level income tax.

B **Normalization add-backs total $31.5K in FY2025, 1.0% of revenue:** $25.5K [N1, N2] is documented in the general ledger and $6.0K [N4] is a management representation. The $24.0K settlement [N3] was a one-time FY2024 item.

C **[S1] adds back $105.0K in FY2025:** W-2 wages of $200.0K less a $95.0K market salary for a general manager. It is 77% of total adjustments, so the replacement-hire assumption drives the result.

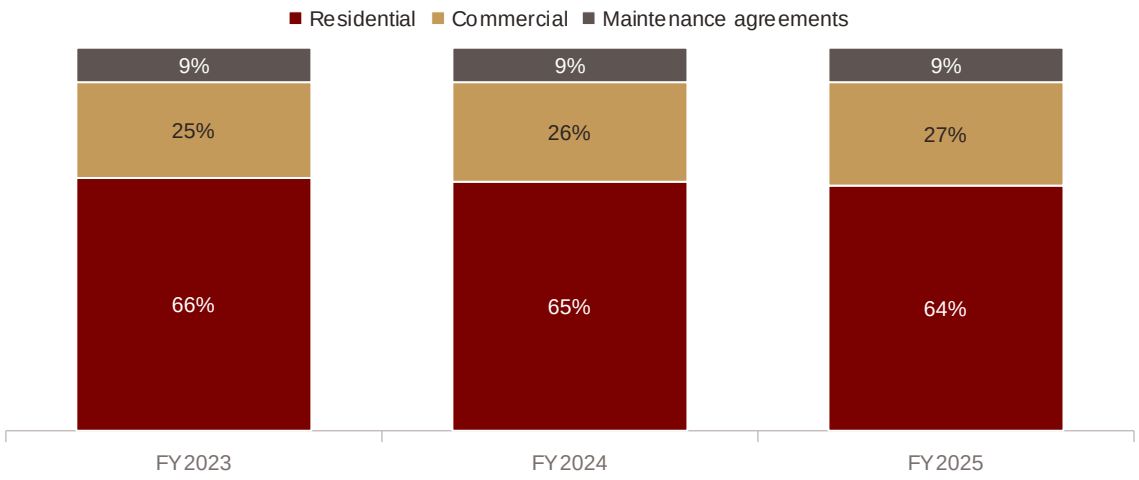
D **SDE of $547.9K (18.0% of revenue)** is Adj. EBITDA plus the $95.0K replacement salary, the measure SBA 7(a) lenders underwrite for a Main Street asset purchase.

Source: Company financial statements (QuickBooks Online), FY2023–FY2025; general ledger detail; payroll register; Seller add-back list; AMB Advisory analysis.
Note: Figures in USD thousands. Adj. EBITDA and SDE are non-GAAP measures. Positive adjustments increase EBITDA. Financials are as provided by the Seller and have not been independently audited.
(1) SDE adds back the $95.0K market replacement compensation deducted within [S1]; shown for buyers financing with an SBA 7(a) loan.
(2) Market salary for a general manager per management and AMB Advisory's review of comparable roles in the Columbus market; not independently verified.

Commercial revenue grew 16.0% to $821.0K in FY2025 while the largest customer stayed at 4.0% of revenue and the top 10 at 19.3%

Revenue mix by service line (% of revenue)

Commercial plus agreements: 34% to 36% of revenue



Service lines (FY2025, $000s)

Service line	What the customer buys	Pricing basis	FY2025	%	y/y	Obs.
Residential service and replacement	Repairs, system replacements and plumbing service for homeowners	Flat-rate pricebook (ServiceTitan); replacement quotes	$1,946.1	64%	9.7%	
Commercial	HVAC and plumbing service and PM for property managers, offices and restaurants	Annual PM contracts and T&M	$821.0	27%	16.0%	C
Maintenance agreements	Two tune-ups a year, priority scheduling, 15% repair discount	About $189 per member per year	$273.7	9%	16.0%	D

Customer concentration, top 10 (FY2025, $000s)

Customer	Type	Since	Revenue	% total	Cum. %	Basis	Obs.
C-001	Restaurant group (4 sites)	2016	$121.6	4.0%	4.0%	PM contract + T&M	A
C-002	Property manager	2014	94.3	3.1%	7.1%	PM contract + T&M	
C-003	Property manager	2018	73.0	2.4%	9.5%	PM contract + T&M	
C-004	Office building	2019	60.8	2.0%	11.5%	PM contract	
C-005	Restaurant group (3 sites)	2020	51.7	1.7%	13.2%	T&M	
C-006	Property manager	2012	45.6	1.5%	14.7%	PM contract + T&M	
C-007	Medical office	2021	39.5	1.3%	16.0%	PM contract	
C-008	Restaurant group (2 sites)	2017	36.5	1.2%	17.2%	T&M	
C-009	Church campus	2015	33.4	1.1%	18.3%	PM contract	
C-010	Retail plaza	2022	30.4	1.0%	19.3%	T&M	
Top 10	**71% of commercial**		**$586.8**	**19.3%**			B
Remaining	Residential and other		2,454.0	80.7%			
Total			**$3,040.8**	**100.0%**			

Key observations

A **The largest customer, C-001, is 4.0% of FY2025 revenue ($121.6K):** a four-location restaurant group served since 2016 on a preventive-maintenance contract plus time-and-materials repairs.

B **The top 10 customers are 19.3% of revenue and all commercial;** they are 71% of commercial revenue, so the commercial line rests on relationships the owner personally holds (page 7).

C **Commercial revenue grew from $612.5K to $821.0K in two years (15.8% CAGR),** driven by annual preventive-maintenance contracts with property managers and four restaurant groups; two property managers have requested quotes on additional buildings (1).

D **Maintenance agreements produced $273.7K (9% of revenue) from 1,450 members** at about $189 each; the 82% renewal rate feeds residential repair and replacement leads (1).

Source: Company financial statements (QuickBooks Online), FY2023–FY2025; Company customer list by invoice, FY2025 (ServiceTitan); AMB Advisory analysis.
Note: Figures in USD thousands unless noted. Customers are coded; names are available in the data room after a management meeting. Mix percentages are of total revenue. PM = preventive maintenance; T&M = time and materials.
(1) Per management; not independently verified.

An 11-year operations manager runs dispatch for 18 field staff and 20 vehicles from an 8,000 sq ft shop leased through 2029

Management and staffing. Ridgeline employs 24 people: 14 service technicians, a 4-person install crew, an operations manager, 3 customer service and dispatch staff, a bookkeeper and the owner. Lisa Tran, the operations manager, has been with the Company 11 years, runs dispatch and daily scheduling in ServiceTitan, and is expected to stay after closing. Technicians are paid hourly plus a spiff on each maintenance agreement sold, which is how 1,450 memberships were built without a dedicated sales role; there is no union. Revenue per field employee was $168.9K in FY2025.

Owner role and transition. Mark Delaney founded the Company in 2009. He works about 45 hours a week on estimating large replacements, commercial relationships, vendor terms and hiring (1). He is retiring at 61, will remain full time for up to 12 months after closing, and will introduce each commercial account to the buyer; page 7 sets out who assumes each responsibility.

Fleet, facility and systems. The Company runs 18 service vans and 2 install trucks, all owned and financed with vehicle loans. It operates from an 8,000 sq ft leased shop and office on Maple Ave in Columbus; the lease runs through 2029 with a 5-year renewal option, the landlord is unrelated to the owner and rent was $96.0K in FY2025. ServiceTitan handles dispatch, invoicing and memberships and QuickBooks Online the accounting.

Suppliers and reputation. Ridgeline has been a Carrier Factory Authorized Dealer since 2015 and buys Carrier equipment through the local distributor, with parts from Ferguson and Johnstone Supply. It holds a 4.8 Google rating from more than 900 reviews. Most leads arrive by referral and search rather than paid advertising, which was $21.5K in FY2025 (0.7% of revenue) (1).

Operating cost ratios (% of revenue)

Cost line	FY2023	FY2024	FY2025	FY23–25	Basis
Technician wages and benefits	21.7%	21.1%	20.8%	–93 bps	Hourly plus agreement spiffs
Direct labor and subcontractors	14.2%	13.7%	13.5%	–71 bps	Install crew; cost of revenue
Field labor	**35.9%**	**34.9%**	**34.3%**	**–1.6 pts**	**18 field staff, no union**
Vehicle, fuel and maintenance	4.9%	4.8%	4.7%	–29 bps	20 owned vehicles
Rent and occupancy	3.7%	3.4%	3.2%	–50 bps	Fixed lease through 2029
Marketing and advertising	0.7%	0.7%	0.7%	–1 bps	Referrals and reviews (1)

Organization and tenure (#)

Role	Count	Tenure and pay basis	Post-close
Owner and founder (Mark Delaney)	1	Since 2009; about 45 hrs/week	Retiring; full time for up to 12 months
Operations manager (Lisa Tran)	1	11 years; dispatch and scheduling	Expected to stay
Service technicians	14	Hourly plus agreement spiffs	Continue (2)
Install crew	4	Hourly; replacements and commercial installs	Continue (2)
Customer service and dispatch	3	Hourly; ServiceTitan call board	Continue (2)
Bookkeeper	1	QuickBooks Online	Continue (2)
Total	**24**		

Facilities, fleet and systems

Item	Detail	Term or status
Shop and office	8,000 sq ft on Maple Ave, Columbus; landlord unrelated to the owner	Lease through 2029; 5-year renewal option
Fleet	18 service vans and 2 install trucks, owned	Vehicle loans; interest $19.0K in FY2025
Software	ServiceTitan (dispatch, invoicing, memberships); QuickBooks Online	Job-level records tie to invoices
Equipment and parts	Carrier equipment via the local distributor; parts from Ferguson and Johnstone Supply	Carrier Factory Authorized Dealer since 2015
Service area	Franklin, Delaware and Licking counties, about a 35-mile radius	Residential and light commercial
Reputation	4.8 Google rating from 900+ reviews	Referrals and search are the main lead sources (1)

Source: Management; payroll register; lease agreement; Company financial statements (QuickBooks Online), FY2025; AMB Advisory analysis.
Note: Headcount as of September 2026. Employees other than management are described by role only. Figures in USD thousands unless noted.
(1) Per management; not independently verified.
(2) The Seller prefers a buyer who retains the Ridgeline name and all employees.

Buyers will test five items, led by the owner's 45-hour week and a 19.3% top-10 customer share; each has a quantified answer

Considerations for buyers (FY2025 unless noted)

Consideration	What the data shows	How it is addressed
Owner involvement	The owner works about 45 hours a week on estimating large replacements, commercial relationships, vendor terms and hiring (1); the top 10 customers (19.3% of revenue) are relationships he holds.	The operations manager (11 years) runs dispatch and scheduling. The owner remains full time for up to 12 months and introduces each commercial account. Adj. EBITDA already carries a $95.0K general-manager salary [S1].
Customer concentration	The largest customer is 4.0% of revenue and the top 10 are 19.3%, all commercial; residential is 64% of revenue across individually small tickets.	Losing C-001 in full would remove $121.6K of revenue, less than 40% of one year's growth ($322.2K in FY2025). Nine of the top 10 have been customers for four years or more.
Technician labor	Field labor (technician wages plus installation labor and subcontractors) was $1041.8K, 34.3% of revenue, in a market where technicians are scarce; pay is hourly plus spiffs and there is no union.	Field labor fell from 34.9% of revenue in FY2024 to 34.3% while revenue grew 11.9%. The operations manager's 11-year tenure is the retention evidence in hand; technician tenure is in the data room (2).
Add-back quality	FY2025 adjustments total $136.5K: $105.0K owner compensation [S1], $25.5K documented in the general ledger [N1, N2] and $6.0K from card statements [N4]. Adj. EBITDA is 43% above Reported EBITDA.	Each adjustment is listed with its basis and evidence on page 4. The general ledger, payroll register and card statements are in the data room. Excluding [N4] entirely moves the Adj. EBITDA margin by 20 bps.
Lead generation	Paid marketing was $21.5K (0.7% of revenue); leads come from referrals, the 4.8 Google rating (900+ reviews) and the Carrier dealer program, so demand depends on reputation rather than a purchased funnel.	The 1,450 maintenance agreements schedule about 2,900 tune-up visits a year and generate repair and replacement leads at an 82% renewal rate. Agreements are offered on about 35% of service calls today (1).

Owner responsibilities and transition (hours per week) (1)

Responsibility	Hrs/wk	Who assumes it post-close	Transition support	Obs.
Estimating large replacements	~14	General manager (or a senior technician)	Owner joins estimates, 12 months	A
Commercial relationships	~10	General manager	Owner introduces each account	A
Vendor terms and purchasing	~6	Operations manager	Supplier contacts transferred	B
Hiring and staffing	~5	Operations manager and general manager	Owner supports interviews	B
Finance and administration	~10	Bookkeeper and general manager	System access at closing	B
Total	**~45**			

Key observations

A **Estimating and commercial work, about 24 of 45 hours,** are the general-manager role that [S1] prices at $95.0K; a buyer who does this work personally underwrites SDE of $547.9K rather than Adj. EBITDA of $452.9K.

B **The other 21 hours pass to staff already in place:** the operations manager takes purchasing and hiring, and the bookkeeper the financial routine, each with the general manager. No new hire beyond the manager is assumed.

C **The 12-month transition spans one full season cycle,** so the buyer prices one summer cooling peak and one winter heating peak of replacement work with the owner still estimating.

Source: Company financial statements (QuickBooks Online), FY2023–FY2025; Company customer list by invoice, FY2025; Management; AMB Advisory analysis.
Note: Figures in USD thousands unless noted. Adjustment references [N1]–[N4] and [S1] are defined on page 4.
(1) Per management; not independently verified. Hours are the owner's estimate of a typical week.
(2) Technician hire dates by employee are provided in the data room.